

(4) **Pattern:** Because the forecast involves a correction, not an impulse wave, rules for determining the specific pattern provide far less certainty than they did in 1974 and 1982 to the extent that a *single* likely path cannot even be suggested. Because of the guideline of alternation, though, the style of pattern (“sideways” as opposed to “sharp”) is virtually certain.

(5) **Duration:** The time that the pattern may take is, as always, uncertain. Nevertheless, two estimating approaches are in agreement at three different times, strongly suggesting a particular overall timing that fits a highly qualified pattern profile. Channeling provides a high confidence estimate of a *maximum* duration.

The enormity of the task of forecasting properly any *one* of the above variables is appreciated by market veterans, while the odds of getting most of them right are so low that any such instance of success is usually considered luck. It is hoped that skeptics will first read *Elliott Wave Principle* and judge for themselves how the authors did in forecasting the great bull market and whether it was luck.

DIRECTION

The next major stock market move will be down.

DEGREE OF THE BEAR MARKET

Because the Supercycle degree advance from 1932 is a fifth wave, it is ending not just its own pattern, but the Grand Supercycle from 1784 as well. Thus, there is virtual certainty that the ensuing correction will be of at least Grand Supercycle degree.

One question to answer is, could the bear market be even *larger* than Grand Supercycle? *Elliott Wave Principle* expressed concern over this question in 1978, stating, “As we read Elliott, the current bull market in stocks is the fifth wave from 1932 of the fifth wave from 1784 of *possibly* the fifth wave from the Dark Ages.” At the time, we had no way of determining whether that possibility was a probability. We did know that if the advance from 1784 were itself discovered to be a fifth wave, then the ensuing bear market would then have to correct an advancing wave of at least Millennium degree, which would make it proportionately larger.

In order to become confident about the degree of the bear market, it was crucial to determine the Grand Supercycle’s position in